

Palantir Technologies Inc.

PLTR NYSE

Hold	\$127.39 ▼ 3.98%	12M Price Target \$140.00	52-Week Range \$106.37 – \$207.52	Market Cap \$305.38B
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PLTR: AI Darling Cooling Off, But Policy Winds Still Blow

WHAT HAPPENED

- PLTR dropped ~4% on notably light volume (7.7M shares vs. 25-30M recently) — that's actually telling. Light-volume selloffs usually mean buyers stepped away rather than sellers piling in. Feels more like AI-group fatigue than PLTR-specific bad news, especially with ServiceNow's earnings jitters casting a shadow over the whole enterprise AI complex today.
- A Motley Fool piece flagging PLTR as "-35% from its peak" is doing the rounds — that framing is starting to shift sentiment from "too expensive to touch" toward "is this the entry point?" Watch for that narrative to build.

WHY IT MATTERS

Here's what today really means: the AI trade is going through a "show me the earnings" phase, and PLTR — trading at nosebleed multiples — gets hit hardest when investors get nervous about whether AI revenue is actually showing up. But the setup underneath is still strong: options flow is bullish (put/call of 0.60, meaning traders are buying way more upside bets than downside protection), and someone bought 290 August \$85 calls at 7.8x the existing open interest — that's a big, directional bet from someone who thinks the stock rebounds. The insider selling from Director Moore is worth noting but it's a single insider on a scheduled sale plan, not a cluster — I wouldn't panic. Net-net: this is a shakeout in a stock that got ahead of itself, not a broken thesis.

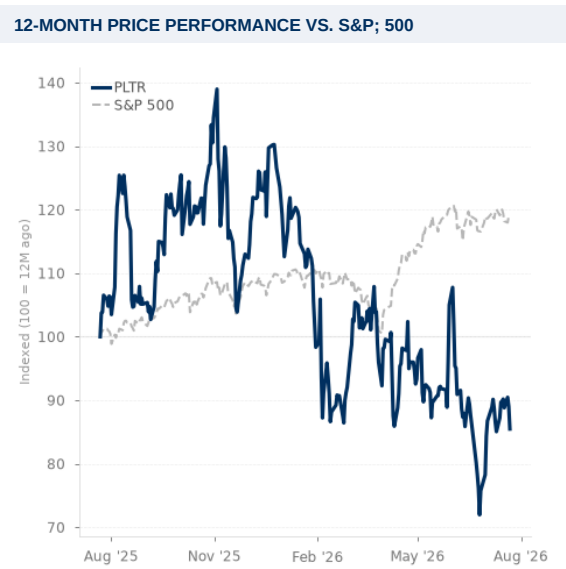
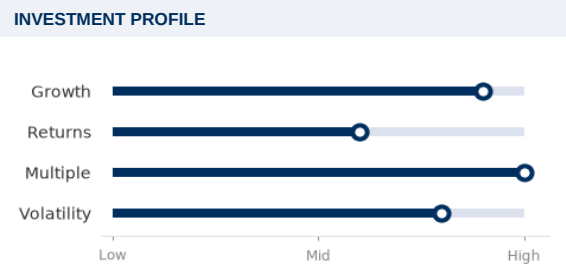
POLICY & POLITICAL WATCH

The big political tailwind: the Trump administration's continued push to embed AI across federal agencies via executive order — PLTR's Foundry and AIP platforms are already the default choice at DoD, ICE, and CDC, so any expansion of federal AI mandates flows disproportionately to them. Watch the FY2027 defense appropriations debate this fall — the House version reportedly includes another meaningful bump for "AI-enabled command and control," which is literally PLTR's Maven contract territory. The one policy risk to watch: bipartisan noise around AI procurement reform (more competition, less sole-source awards) — if that gains traction, PLTR's cushy government margins get pressured.

IS IT EXPENSIVE?

Let's be honest: PLTR trades at roughly 63x forward revenue — meaning investors are paying \$63 for every \$1 of sales the company will generate next year. For context, other high-quality software names trade at \$10-15. That premium is only justified if PLTR grows revenue 40%+ for several years AND expands margins — doable, but zero room for error. At this price, you're not buying a bargain; you're buying a bet that the AI-government thesis plays out exactly as bulls hope.

Key Data	
Price (USD)	\$127.39
12M Price Target	\$140.00
Upside / (Downside)	+9.9%
Market Cap	\$305.38B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.68
FY2027E EPS	\$0.95
Fwd P/E	187.3x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$130.00	\$115.00
6 Months	\$165.00	\$135.00	\$100.00
1 Year	\$190.00	\$140.00	\$90.00
2 Years	\$240.00	\$165.00	\$80.00
5 Years	\$350.00	\$220.00	\$70.00
10 Years	\$600.00	\$320.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+5.3% over 5 days) and Utilities — money is flowing into the "AI needs power" trade, which is actually a bullish tell for AI infrastructure demand. Materials also catching a bid on tariff/reshoring themes.

COOLING OFF: Enterprise software and high-multiple AI names — investors are getting selective about who's actually monetizing AI vs. who's just talking about it.

ROTATION WATCH: The rotation today looks defensive (utilities, staples up) — that's classic "risk-off within a bull market" behavior. Growth names like PLTR bear the brunt on days like this.

RELATED PLAY: If you believe AI demand is real, the picks-and-shovels beneficiaries — data center REITs, power utilities serving hyperscalers, and grid infrastructure names — are catching the same tailwind with less valuation risk than PLTR.

WHO'S WINNING IN THIS SPACE?

- XLE (Energy Select Sector): Leading on the "AI needs electricity" narrative and geopolitical premiums.
- XLU (Utilities): Powering the data center boom — regulated utilities near hyperscaler hubs are quietly ripping.

PLTR CONTEXT: PLTR is lagging today, sitting at just 21% of its 52-week range — that's beat-up territory. Compared to other pure-play AI winners, it's the weakest link this week. That tells me sentiment on high-multiple AI has shifted, and PLTR is the release valve. Not broken — just out of favor short-term.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business a lot, but I don't love the price. The government AI thesis is one of the cleanest in tech, but you're paying up for it.

POSITION SIZE: Keep this 2-3% of the portfolio. Great story, but the volatility (8/10) means it can chop you up if you size too big.

ENTRY POINTS: I'd add on pullbacks toward \$110-115 — that's where the stock has found buyers before, and it lines up with where those unusual August call buyers seem to be positioning.

TIME HORIZON: 12-24 months. The catalyst I'm watching: Q3 earnings (early November) — if commercial revenue accelerates AND government backlog grows, the thesis re-ignites.

WHEN TO BAIL: Cut it if government revenue growth drops below 30% YoY, if they lose a marquee DoD contract, or if there's cluster insider selling (multiple insiders, not just one).

HEDGING: Simplest hedge in plain English — pair this with a short in a more expensive, less-profitable AI name. If the whole AI trade rolls over, your short gains offset PLTR's losses. Or just keep the position small enough that a 30% drop doesn't ruin your week.